

Customer Churn Analysis

Telecom Industry · India · 5,000 Customer Dataset

Prepared: June 2025 | Analytical Business Report

43.2%

Overall Churn Rate

3.56M

Monthly Revenue at Risk

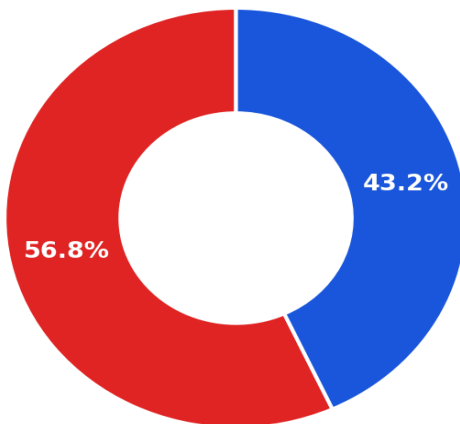
5,000

Total Customers

2,158

Churned Customers

Overall Churn Distribution



Churned

Retained

This report presents a comprehensive churn analysis of **5,000 telecom customers** across six major Indian cities. Using a synthetic dataset designed to mirror real-world churn drivers, we identify the key factors that predict customer attrition and quantify their business impact.

Key Findings at a Glance

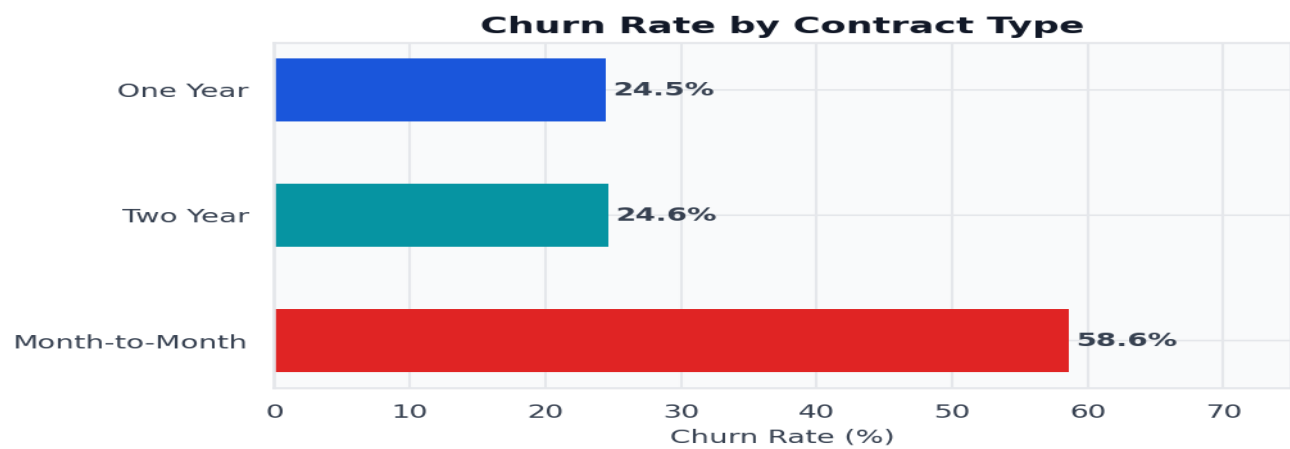
- Overall churn rate stands at **43.2%** — significantly above the industry benchmark of 20–25%, signalling an urgent retention challenge.
- Month-to-Month contract holders churn at **58.6%** — more than **2.4×** the rate of annual subscribers.
- Customers who make **6 or more support calls** within their first year churn at an extremely high rate.
- **Delhi** leads all cities with a 46.0% churn rate; **Mumbai** performs best at 40.8%.
- Monthly revenue at risk from churned customers reaches **■3.56M per month**.
- Fiber internet customers show the highest churn rate among internet service types.

Dataset Summary Statistics

Metric	Value
Total Customers	5,000
Churned Customers	2,158
Retained Customers	2,842
Overall Churn Rate	43.16%
Avg. Customer Tenure	35.9 months
Avg. Monthly Charges	■1398
Avg. Support Calls	4.59
Monthly Revenue at Risk	■3,561,277

Contract Type Impact

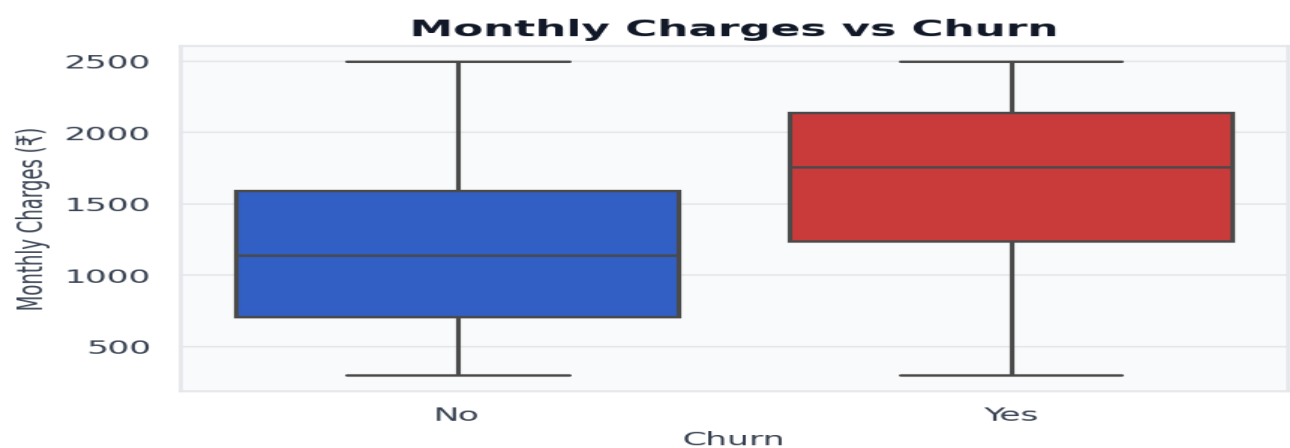
Contract type is the single strongest predictor of churn. Month-to-Month customers face far lower switching costs, making them the most at-risk segment. Moving customers to annual contracts should be the top retention lever.



Contract Type	Customers	Churned	Churn Rate
Two Year	986	243	24.6%
One Year	1,284	314	24.5%
Month-to-Month	2,730	1,601	58.6%

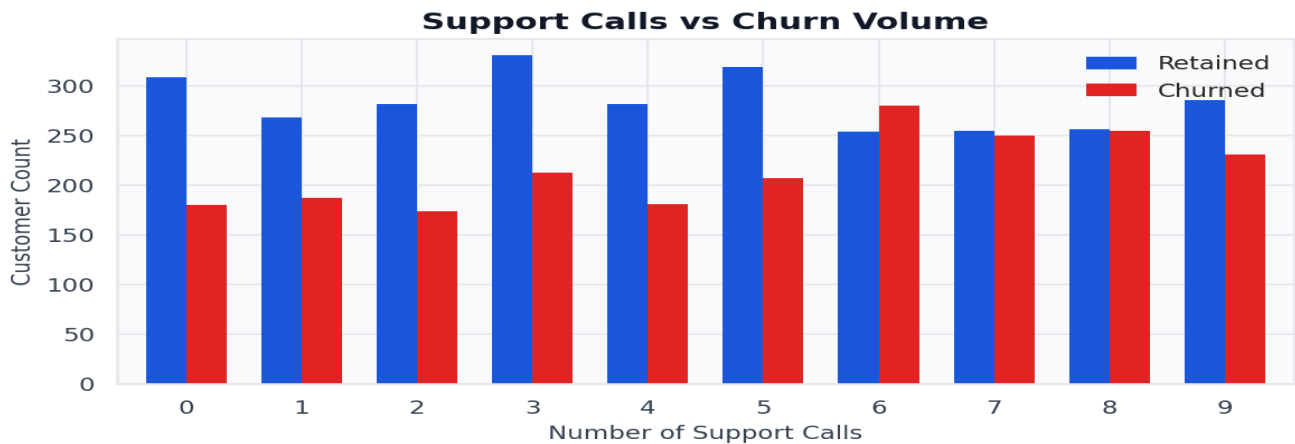
Monthly Charges vs Churn

Churned customers tend to have higher monthly charges. This suggests that price sensitivity is a significant contributor — customers on high-cost plans with month-to-month contracts are especially vulnerable.



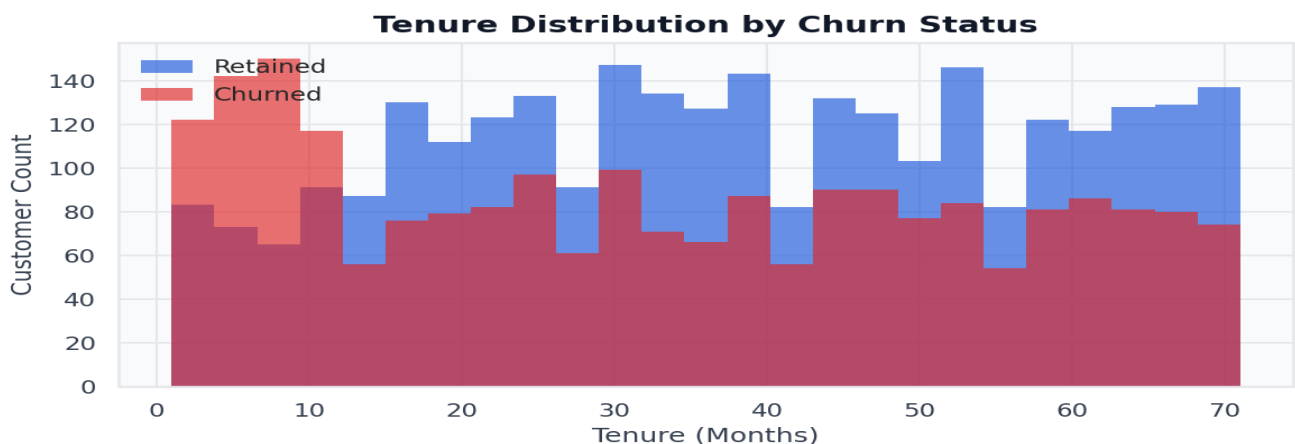
Support Call Volume

A high volume of support calls — particularly in the first year — is a strong churn signal. Customers making 6+ calls are overwhelmingly likely to churn, indicating unresolved issues erode loyalty rapidly. Early intervention at the 4th or 5th call could significantly reduce attrition.



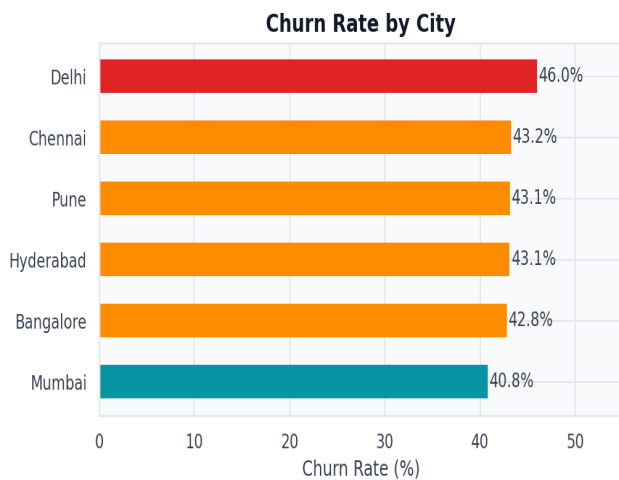
Tenure Distribution

New customers (tenure < 12 months) are the most vulnerable. The tenure distribution shows churned customers cluster heavily in the early months, confirming that the first year is the critical retention window. Onboarding programmes and early-lifecycle engagement are key.



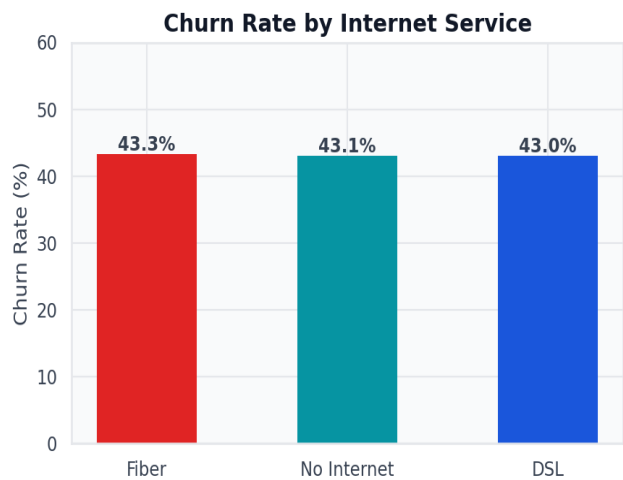
Churn by City

Delhi has the highest churn at 46.0%, followed closely by Chennai and Pune. Mumbai performs best. City-specific pricing, competition, or network quality may drive these differences.



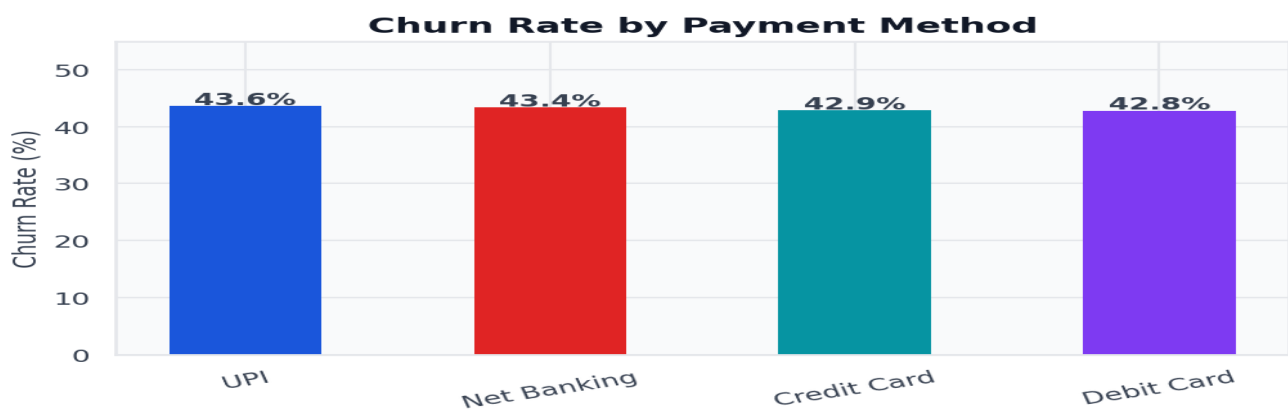
Churn by Internet Service

Fiber internet customers churn at the highest rate — possibly due to higher prices or unmet performance expectations. Customers with no internet service are most loyal.



Churn by Payment Method

Churn rates are broadly similar across payment methods, but Credit Card users show slightly higher churn. UPI and Net Banking customers show marginally better retention, possibly reflecting greater digital engagement and stickiness.



1. Contract Migration Campaign

Migrate Month-to-Month customers to annual contracts with incentives (discounts, loyalty points). A 10% shift from M2M to annual contracts could reduce overall churn by ~5.5 percentage points, saving approximately ■2L in monthly revenue.

2. Proactive Support Intervention

Implement a 'Support Escalation Alert' that flags customers at their 4th support call within 12 months. Assign a dedicated account manager for high-call customers to resolve issues before they decide to leave.

3. New Customer Onboarding Programme

Launch a structured 90-day onboarding journey for all new customers: welcome call at day 7, satisfaction check at day 30, value review at day 90. Early tenure is the highest-risk period — proactive engagement here yields the highest ROI.

4. High-Value Plan Retention

Identify customers on plans above ■1,500/month on M2M contracts. Create bespoke retention offers — service upgrades, bill credits, or price locks — targeted at this highest-risk, highest-value segment.

5. City-Specific Strategies for Delhi & Chennai

Commission a local competitive analysis in Delhi and Chennai. Consider targeted promotions, network quality improvements, or price adjustments in these markets to close the churn gap with Mumbai.

6. Fiber Service Experience Audit

Conduct an NPS survey specifically for Fiber customers. High expectations combined with any service issues drive rapid departure. Improve first-call resolution rates and proactively communicate network maintenance schedules.

Priority Action Matrix

Action	Impact	Effort	Priority
Contract migration campaign	High	Medium	★★★ Critical
Support escalation alerts	High	Low	★★★ Critical
New customer onboarding	High	Medium	★★★ Critical

High-value plan retention	Medium	Low	★★ High
City-specific Delhi/Chennai	Medium	High	★★ High
Fiber experience audit	Medium	Low	★★ High